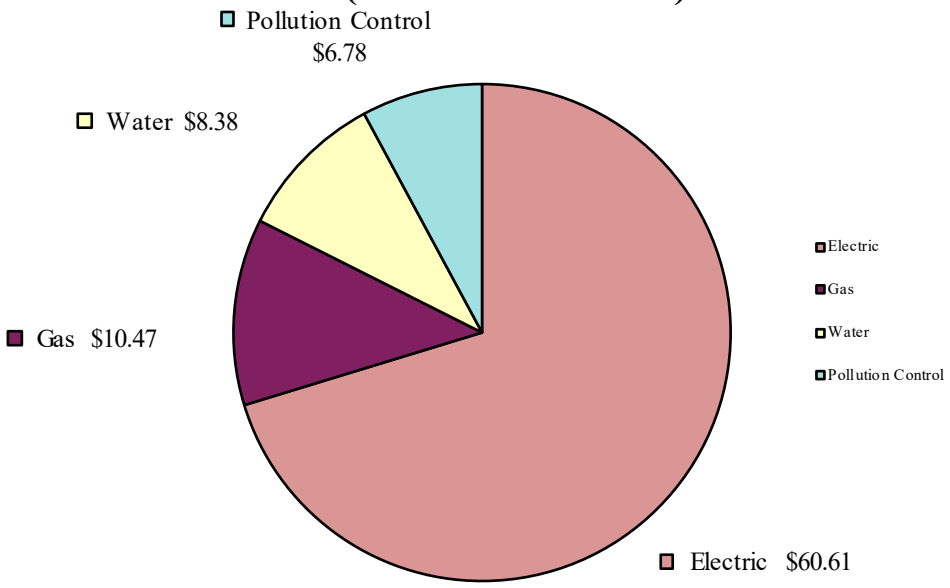
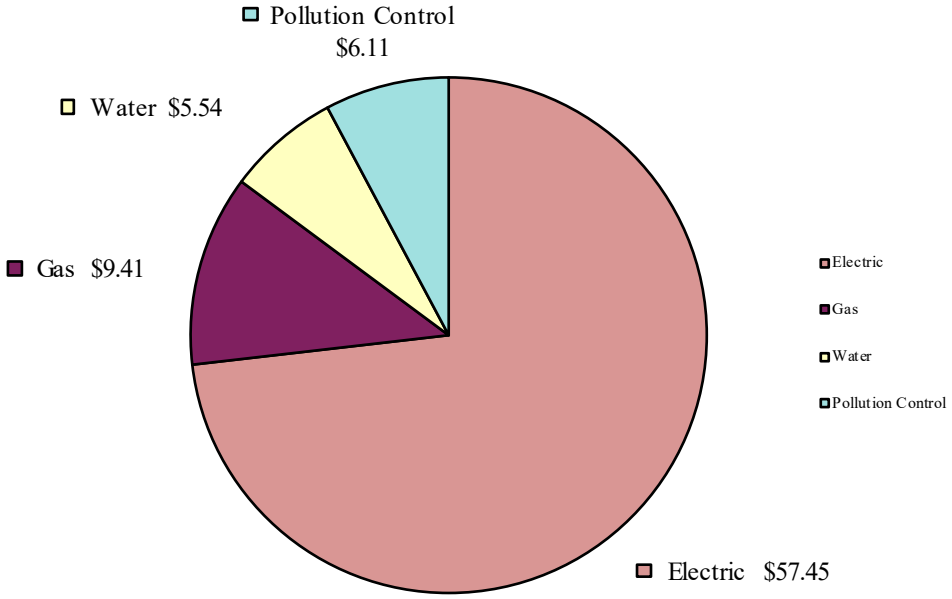
2025 OPERATING REVENUE BY DEPARTMENT (dollars in millions)



2025 OPERATING EXPENSES BY DEPARTMENT (dollars in millions)



PAYMENTS IN LIEU OF TAXES

Transfers of payments in lieu of taxes to the City of Hastings are a huge benefit of local ownership of the utility system. Since HU is a part of the City of Hastings, it does not pay any property taxes, as would be the case if the system were privately owned. Therefore, it has been a longstanding practice of HU to transfer revenues to the City's general fund. The transfers ensure that the other essential service areas provided by the City do not suffer as a result of public ownership of HU. Factors that drive an increase or decrease in transfer payments include the levels of utility service used by HU's customer base (see Note C7).

MISCELLANEOUS REVENUES AND EXPENSES

As a whole, non-operating income increased $2.09M, while non-operating expenses increased $0.90M. Non-operating revenues include interest income, participation and capacity agreement income, coal sales, jobbing reimbursements, reimbursement for services provided to PPGA, and miscellaneous income. Non-operating expenses include interest expense, loss on disposal of assets, cost of coal, jobbing and services to PPGA (see Note D3).

CAPITAL ASSETS

A major philosophy of HU's approach to delivering its services is staying ahead of the "reliability curve". Delivery networks and facilities are constantly evaluated to determine if they are capable of supplying needed services now and into the future, resulting in extensive capital additions in the past years. Total utility plant in service increased from $397.29M in 2024 to $413.67M in 2025, an increase of $16.38M. After depreciation and including construction in progress, net utility plant increased from $205.42M in 2024 to $218.17M in 2025, an increase of $12.75M.

Significant capital expenditures during the year ended September 30, 2025 included:

- Gas meters - $155,114
- Academic lift station (contribution in aid of construction) - $2,446,915
- Primary anaerobic digester structure upgrade - $3,833,563
- Modify 3505 Yost Avenue building - $645,588
- Water meters - $229,108
- Upgrade to 8" water main on Boston (A to E Streets) - $554,827
- Well 6 structure - $199,965
- Electric meters – 450,395
- Electric distribution poles, conductor, overhead and underground improvements - $2,555,812
- Street lights - $207,126

- WEC1 bottom ash conveyor system - $3,479,857
- Unit 5 boiler building winterization - $173,030
- Electric line transformers - $550,567
- Construction in progress on electric projects - $2,052,021
- Construction in progress on gas projects - $843,223
- Construction in progress on water projects - $640,397
- Construction in progress on sewer projects - $283,085

LONG-TERM DEBT

Total long-term debt decreased from $9.1M to $8.3M as $0.7M of notes payable were issued and scheduled principal payments were made.

FACTORS BEARING ON THE NEXT FISCAL YEAR

- Infrastructure replacement projects are expected to continue to address aging water and sewer systems.
- Rising costs of healthcare continue to be a challenge.
- The Sewer Department has a remaining contractual commitment of $424,409 on aeration basin equipment, expected to be completed by January 2026.
- The Water Department has a remaining contractual commitment of $506,216 on the Sixth Street main replacement project, expected to be completed by March 2026.
- The Water Department has a remaining contractual commitment of $995,089 on the Highway 6 water improvement project, expected to be completed by March 2026.

REQUESTS FOR INFORMATION

This financial report is designed to provide a general overview of HU's primary government finances for all those with an interest in the government's finances. Questions concerning any of the information provided in this report or requests for additional financial information should be addressed to City of Hastings, Manager, Utilities, 1228 North Denver Avenue, Hastings, NE 68901.

CITY OF HASTINGS, NEBRASKA
UTILITY DEPARTMENTS

STATEMENTS OF NET POSITION

September 30,

	Electric Fund	
	2025	2024
ASSETS		
Current assets:		
Cash and cash equivalents	$ 8,960,056	$ 7,619,672
Investments	6,720,000	6,720,000
Accounts receivable	7,231,634	7,057,798
Interest receivable	67,653	77,215
Interfund receivable (payable)	57,914	(143,633)
Inventory	9,661,212	9,693,763
Total current assets	32,698,469	31,024,815
Noncurrent assets:		
Restricted cash and cash equivalents	1,590,831	1,382,691
Capital assets:		
Construction in progress	34,040,874	31,988,853
Electric	219,091,088	211,582,836
Gas	-	-
Water	-	-
Pollution control	-	-
Administrative	-	-
Less accumulated depreciation	(147,443,604)	(143,331,743)
Subtotal	105,688,358	100,239,946
Non-utility plant	15,866,333	15,866,333
Less accumulated depreciation	(9,907,659)	(9,297,723)
Net capital assets	111,647,032	106,808,556
Total noncurrent assets	113,237,863	108,191,247
Total assets	145,936,332	139,216,062
LIABILITIES		
Current liabilities:		
Accounts payable	6,294,488	5,495,105
Accrued payroll expenses	383,635	454,571
Accrued interest payable	-	-
Sales tax payable	14,778	18,572
Customer deposits	-	-
Current portion of long-term debt	-	-
Total current liabilities	6,692,901	5,968,248
Noncurrent liabilities:		
Compensated absences	2,333,693	1,820,344
Accrued emissions fees	16,540	13,057
Accrued ash disposal fees	1,590,831	1,525,269
Noncurrent portion of long-term debt	-	-
Total noncurrent liabilities	3,941,064	3,358,670
Total liabilities	10,633,965	9,326,918
NET POSITION		
Net investment in capital assets	111,647,032	106,808,556
Restricted for debt service	-	-
Unrestricted	23,655,335	23,080,588
Total net position	$ 135,302,367	$ 129,889,144

See notes to financial statements.

Combined System		Total	
2025	2024	2025	2024
$ 16,369,649	$ 15,719,312	$ 25,329,705	$ 23,338,984
4,550,781	6,228,438	11,270,781	12,948,438
3,301,259	2,799,452	10,532,893	9,857,250
19,865	61,989	87,518	139,204
(57,914)	143,633	-	-
2,421,123	2,270,373	12,082,335	11,964,136
26,604,763	27,223,197	59,303,232	58,248,012
715,852	549,710	2,306,683	1,932,401
15,146,973	13,805,201	49,187,847	45,794,054
-	-	219,091,088	211,582,836
37,801,315	37,574,528	37,801,315	37,574,528
64,160,856	62,678,509	64,160,856	62,678,509
76,524,895	70,454,132	76,524,895	70,454,132
16,087,292	14,996,801	16,087,292	14,996,801
(97,235,247)	(94,328,201)	(244,678,851)	(237,659,944)
112,486,084	105,180,970	218,174,442	205,420,916
-	-	15,866,333	15,866,333
-	-	(9,907,659)	(9,297,723)
112,486,084	105,180,970	224,133,116	211,989,526
113,201,936	105,730,680	226,439,799	213,921,927
139,806,699	132,953,877	285,743,031	272,169,939
1,554,312	2,056,554	7,848,800	7,551,659
315,492	288,132	699,127	742,703
39,752	44,063	39,752	44,063
216,412	239,419	231,190	257,991
555,252	549,710	555,252	549,710
877,233	828,382	877,233	828,382
3,558,453	4,006,260	10,251,354	9,974,508
2,057,566	1,982,492	4,391,259	3,802,836
-	-	16,540	13,057
-	-	1,590,831	1,525,269
7,450,803	8,254,226	7,450,803	8,254,226
9,508,369	10,236,718	13,449,433	13,595,388
13,066,822	14,242,978	23,700,787	23,569,896
104,158,048	96,098,362	215,805,080	202,906,918
160,600	-	160,600	-
22,421,229	22,612,537	46,076,564	45,693,125
$ 126,739,877	$ 118,710,899	$ 262,042,244	$ 248,600,043

CITY OF HASTINGS, NEBRASKA
UTILITY DEPARTMENTS

STATEMENTS OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION

For the years ended September 30,

	Electric Fund	
	2025	2024
Operating revenues	$ 60,605,463	$ 52,478,980
Operating expenses (non-depreciation)	(53,152,101)	(51,067,613)
Operating income before depreciation	7,453,362	1,411,367
Less depreciation	(4,300,703)	(4,107,955)
Operating income (loss)	3,152,659	(2,696,588)
Nonoperating revenues (expenses):		
Interest income	602,086	1,397,250
DEE loan forgiveness	-	-
Payments in lieu of taxes	(2,392,307)	(2,229,696)
Participation and capacity agreement	2,156,529	1,308,605
Allocated administration interest and other revenue	-	-
Miscellaneous income	646,698	839,035
Net coal sales	1,217,438	923,380
Interest expense	-	-
Non-utility plant depreciation expense	(609,936)	(609,936)
Miscellaneous expenses	(277,268)	(391,565)
Loss on disposal of assets	(53,698)	(303,893)
Contributions in aid of construction	971,022	628,190
Total other income (expenses)	2,260,564	1,561,370
Change in net position	5,413,223	(1,135,218)
Net position - beginning of year		
As previously reported	129,889,144	128,794,666
Restatement	-	2,229,696
As restated	129,889,144	131,024,362
Net position - end of year	$ 135,302,367	$ 129,889,144

See notes to financial statements.

Combined System		Total	
2025	2024	2025	2024
$ 25,636,757	$ 25,380,258	$ 86,242,220	$ 77,859,238
(18,124,054)	(17,941,407)	(71,276,155)	(69,009,020)
7,512,703	7,438,851	14,966,065	8,850,218
(2,934,592)	(2,671,590)	(7,235,295)	(6,779,545)
4,578,111	4,767,261	7,730,770	2,070,673
752,786	614,116	1,354,872	2,011,366
120,427	278,895	120,427	278,895
(1,310,859)	(1,551,845)	(3,703,166)	(3,781,541)
-	-	2,156,529	1,308,605
149,224	215,385	149,224	215,385
1,126,284	276,979	1,772,982	1,116,014
-	-	1,217,438	923,380
(90,869)	(100,384)	(90,869)	(100,384)
-	-	(609,936)	(609,936)
(101,461)	(70,989)	(378,729)	(462,554)
(134,798)	(60,016)	(188,496)	(363,909)
2,940,133	491,438	3,911,155	1,119,628
3,450,867	93,579	5,711,431	1,654,949
8,028,978	4,860,840	13,442,201	3,725,622
118,710,899	112,298,214	248,600,043	241,092,880
-	1,551,845	-	3,781,541
118,710,899	113,850,059	248,600,043	244,874,421
$ 126,739,877	$ 118,710,899	$ 262,042,244	$ 248,600,043

CITY OF HASTINGS, NEBRASKA
UTILITY DEPARTMENTS

STATEMENTS OF CASH FLOWS

For the years ended September 30,

	2025		
	Electric Fund	Combined System	Total
CASH FLOWS FROM OPERATING ACTIVITIES:			
Receipts from customers	$ 72,936,210	$ 26,308,997	$ 99,245,207
Payments to suppliers	(48,856,217)	(9,833,887)	(58,690,104)
Payments to employees	(11,717,472)	(8,555,597)	(20,273,069)
Net cash provided by operating activities	12,362,521	7,919,513	20,282,034
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES:			
Increase (decrease) in due to/from other funds	(201,547)	201,547	-
Payments in lieu of tax to City of Hastings	(2,392,307)	(1,310,859)	(3,703,166)
Net cash provided (used) by noncapital financing activities	(2,593,854)	(1,109,312)	(3,703,166)
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES:			
Purchase of capital assets	(9,802,813)	(10,726,105)	(20,528,918)
Contributions in aid of construction	971,022	2,940,133	3,911,155
Sale of capital assets	-	49,008	49,008
DEE loan proceeds (including loan forgiveness)	-	194,237	194,237
Principal payments on capital debt	-	(828,382)	(828,382)
Interest paid on capital debt	-	(95,180)	(95,180)
Net cash used by capital and related financing activities	(8,831,791)	(8,466,289)	(17,298,080)
CASH FLOWS FROM INVESTING ACTIVITIES:			
Decrease in investments	-	1,677,657	1,677,657
Decrease in restricted investments	-	-	-
Interest income received	611,648	794,910	1,406,558
Net cash provided by investing activities	611,648	2,472,567	3,084,215
Increase (decrease) in cash and cash equivalents	1,548,524	816,479	2,365,003
Cash and cash equivalents - beginning of the year	9,002,363	16,269,022	25,271,385
Cash and cash equivalents - end of the year	$ 10,550,887	$ 17,085,501	$ 27,636,388
Cash and cash equivalents consists of:			
Cash and cash equivalents	$ 8,960,056	$ 16,369,649	$ 25,329,705
Restricted cash and cash equivalents	1,590,831	715,852	2,306,683
Total cash and cash equivalents	$ 10,550,887	$ 17,085,501	$ 27,636,388

See notes to financial statements.

	2024	
Electric Fund	Combined System	Total
$ 61,850,587	$ 25,398,891	$ 87,249,478
(49,500,080)	(9,122,482)	(58,622,562)
(10,432,913)	(7,955,058)	(18,387,971)
1,917,594	8,321,351	10,238,945
(11,770,409)	11,770,409	-
(2,229,696)	(1,551,845)	(3,781,541)
(14,000,105)	10,218,564	(3,781,541)
(25,640,515)	(9,649,584)	(35,290,099)
628,190	491,438	1,119,628
-	5,000	5,000
-	449,830	449,830
-	(137,692)	(137,692)
-	(55,441)	(55,441)
(25,012,325)	(8,896,449)	(33,908,774)
2,075,284	36,328	2,111,612
-	200,000	200,000
1,395,827	577,877	1,973,704
3,471,111	814,205	4,285,316
(33,623,725)	10,457,671	(23,166,054)
42,626,088	5,811,351	48,437,439
$ 9,002,363	$ 16,269,022	$ 25,271,385
$ 7,619,672	$ 15,719,312	$ 23,338,984
1,382,691	549,710	1,932,401
$ 9,002,363	$ 16,269,022	$ 25,271,385

CITY OF HASTINGS, NEBRASKA
UTILITY DEPARTMENTS

STATEMENTS OF CASH FLOWS, Continued

For the years ended September 30,

	2025		
	Electric Fund	Combined System	Total
Reconciliation of operating income (loss) to net cash provided by operating activities:			
Operating income (loss)	$ 3,152,659	$ 4,578,111	$ 7,730,770
Adjustments to reconcile operating income (loss) to net cash provided by operating activities:			
Depreciation expense	4,910,639	3,237,185	8,147,824
Participation and capacity agreements	2,156,529	-	2,156,529
Miscellaneous income, net of expenses	976,932	1,174,047	2,150,979
(Increase) decrease in assets:			
Accounts receivable	(173,836)	(501,807)	(675,643)
Inventory	32,551	(150,750)	(118,199)
Increase (decrease) in liabilities:			
Accounts payable	799,383	(502,242)	297,141
Accrued expenses	507,664	79,427	587,091
Customer deposits	-	5,542	5,542
Net cash provided by operating activities	$ 12,362,521	$ 7,919,513	$ 20,282,034

See notes to financial statements.

	2024		
	Electric Fund	Combined System	Total
$	(2,696,588)	$ 4,767,261	$ 2,070,673
	4,717,891	2,901,897	7,619,788
	1,308,605	-	1,308,605
	760,914	421,375	1,182,289
	(888,025)	(402,742)	(1,290,767)
	(562,743)	(13,338)	(576,081)
	(998,312)	351,372	(646,940)
	275,852	304,621	580,473
	-	(9,095)	(9,095)
$	1,917,594	$ 8,321,351	$ 10,238,945